

WCF

WCF Ltd Annual Report & Financial Statements 2023



Niche Retailing



Specialist Distribution



Leisure

WCF LTD

Our Vision

To hand WCF over to future generations of employees in a stronger financial position for the future than when we inherited it, so that they can benefit from its continued existence and resilience.

Our Mission

To create a workplace where every individual matters and has a unique opportunity to make a difference to our performance with meaningful, diverse and interesting roles.

THE GROUP

RETAIL

WCF Pet & Equestrian
WCF Home Shopping - Country Collection
- James Meade
- The Classic Boutique

LEISURE

Herding Hill Farm
Drummohr
Longnor Wood

DISTRIBUTION

WCF Fuels North West
WCF Chandlers
WCF Fuels North East
Allan Stobart Lubricants and Fuels
WCF Horticulture
A1 Lawn
Progreen Weed Control Solutions

DIRECTORS AND OFFICERS

NON EXECUTIVE

D.A. Routledge C.I.P.D. - Chair
M.S. Ward F.C.A.
R Jenkins - resigned 01.04.23

EXECUTIVE

Managing Director - J.L. Ritzema F.C.A. CDir
Deputy Managing Director - P.J. Murray A.C.A.

COMPANY SECRETARY

P.A. Murray A.C.M.A.

REGISTERED OFFICE

Crawhall
Brampton
Cumbria
CA8 1TN
Tel: 016977 45050

Website: www.wcf.co.uk

BANKERS

HSBC Bank plc
Lancashire Com. Centre
1 Forest Green
Caxton Road
Fulwood
Preston PR2 9LJ

SOLICITOR

Knights PLC
2 Merchant's Drive
Carlisle
CA3 0JW

AUDITOR

MHA Moore & Smalley
Kendal House
Murley Moss Business Village
Oxenholme Road
Kendal
LA9 7BL

CHAIR'S STATEMENT

FINANCIAL RESULT

Whilst operating profits fell from £5.8m last year to £3.1m it is important to remember that the 21/22 figures included some events that were out of our control including the ongoing pandemic, the shortage of HGV drivers, the forecourt fuel shortages in Sept-21 and the start of the war in Ukraine in Feb-22, which created abnormal peaks in demand. The current year figures reflect the challenges of the ongoing cost of living crisis especially in our B2C businesses like Home Shopping and the campsites, as consumers have less disposable income to spend, as well as the impact of the hot Summer in Fuels, Progreen and A1 Lawn.

Fuels profits were down £2.1m on the previous year, with Fuels Gross Margin down £2.5m. This, coupled with increased discounting elsewhere to combat the impact of higher prices on our response rates and demand, pushed overall gross margins down from 12.7% to 10.3%.

Overall revenues rose by 14.6%. The average price of brent crude was approximately 3% higher over the course of 22/23 than in 21/22. Total fuels volumes fell 7.9%. The impact of the duty changes on red diesel in Apr-22, coupled with the dry and hot Summer resulted in a 43% fall in rebated gas oil volumes year on year. Around half of this was mitigated by higher diesel sales as an alternative product, but many customers ceased buying altogether. Through a range of successful marketing strategies, including 16% growth online, Chandlers grew their kerosene volume by 37%.

Excluding Fuels, revenues rose almost £0.9m or 3.4% which included the full year impact of Longnor Wood and Progreen. Excluding the impact of the acquisitions, non-fuels revenues were down 2.9% but we were delighted to deliver a 3.2% increase in store revenues from Pet & Equestrian on a like for like basis as pet ownership continues to boom.

CASHFLOW

Group shareholders' funds moved from £38.8m to £38.0m. Cash at bank and investments fell from £13.9m to £12.4m, as we continue to invest in our campsites, in particular refurbishing the amenity blocks at Drummohr. We purchased the trade and assets of David Hall Transport on behalf of Fuels North West during the year for a total of £0.2m.

We generated cash of £2.9m from operating activities.

We will continue to re-invest in our campsites to provide the best possible guest experience and amenities. These investments increase the value of our leisure asset base and further strengthen our balance sheet. Our Drummohr site has recently been recognised as 5-star by Visit Scotland and our Herding Hill Farm campsite received the prestigious Platinum Pennant status from the AA earlier this year.

BOARD RE-STRUCTURE

During the year we created an Executive Board, led by our Managing Director Jo Ritzema, who are held accountable for the delivery of our 5-year strategy. This is made up of senior members of the WCF leadership team whose responsibility extends across all of our individual businesses and supports the team of General Managers responsible for day-to-day operations.

The focus of the non-executive Board has shifted to prioritise compliance, risk management and governance. The number of non-executive directors has reduced to 2, comprising a Chair and a Senior Independent Director. As a result, Rebecca Jenkins left the Board when her term expired in Apr-23. The other 2 non-executive roles will be reviewed when their current terms expire.

There are clear terms of reference in place for both the Executive and the main Board to avoid duplication of activity and ensure that both bodies operate in a high performing way to deliver the long-term objectives and growth strategy for WCF.

BUSINESS CHANGES

We closed our Kendal Pet & Equestrian store during the year and sold the property, having been unable to generate sufficient footfall to make the store financially viable. Our focus remains on growing on-line revenues from our own brands which will be re-launched in the Autumn.

We closed our camper van hire business to allow the on-site teams to focus on servicing the additional hot tub accommodation created on site with the opening of the Castle Pods. The success of selling fuel online through our own websites negates the need for a different online platform and so we closed Fuelfighter at the start of June.

A1 Lawn was successfully merged with Proggreen and both businesses relocated to a new warehouse near Peterborough. This will allow us to explore the product, customer and supply chain synergies that exist for both businesses.

POST BALANCE SHEET CHANGES

On 31st July 2023 the trade and assets of WCF Horticulture were transferred to ISJ Horticulture Limited, safeguarding the employment of all the team. Increasing rental costs and falling volumes had meant that it was no longer financially viable for WCF to run this as a stand-alone business. We wish Heather Hughes and all her team the very best of luck for the future.

DIVIDEND

A copy of the Dividend Policy, which links shareholder income directly to our current year financial success, is included at the rear of this Annual Report. Eagle eyed shareholders will notice that we have reduced the amount paid out to shareholders to not less than 30% of profit before non-recurring items. This ensures that we retain sufficient cash within the business to fund the ongoing working capital requirements which can be particularly lumpy within Fuels, whilst continuing to invest in our assets and in future strategic acquisitions.

The directors have declared a dividend 30.0 pence per share. This will be paid on or before 1st December 2023 to all shareholders on the register of members at 14th September 2023.

AGM

There are no matters arising that are required to be put to the shareholders at an Annual General Meeting. The holding of such meeting is not a legal requirement for a private limited company that does not have its shares admitted to trading on a regulated market in an EEA state, nor is it mandatory under our Articles of Association. The directors believe that their approval of the annual report and accounts and the declaration of the proposed dividend are in the best interests of the Company and its shareholders as a whole.

A virtual performance update has been held in each of the last 2 years, however poor shareholder attendance means that ongoing production of such an event is not viable. We have adequate processes in place to ensure that employee shareholders are briefed on company performance and what we expect of them in terms of its improvement and our Annual Report contains a review of company performance.

OUR EMPLOYEE OWNERS

As our key stakeholders, we continue to invest in the well-being and engagement of our employee owners. We became a living wage employer in Nov-22, removing any bias in pay around age that

exists with the National Minimum Wage and ensuring that all people doing the same role receive the same basic pay, regardless of their length of service. We will continue to focus our efforts on supporting our lowest paid employee owners.

We were proud to score an eNPS employee engagement score of +54 in our most recent employee engagement survey (+41 = Outstanding), with 89% of our colleagues choosing to share their views with us.

The development programs for our future stars continued, with mentoring programs in place and teams challenged with projects that would enable them to apply a growth mindset for the benefit of WCF. The outcomes of these projects will be used to deliver our future strategies.

OUTLOOK

There is no doubt that the short-term outlook for the UK remains challenging and we are realistic about the impact that this might have on our financial performance. However, all our businesses continue to generate profits.

The Executive teams are focused on delivering our 5-year strategy, whilst not exposing WCF to unacceptable levels of risk. This will see the continued diversification away from Fuels and the ongoing digital transition of our customer base online. Acquisitions will be considered where they are aligned to the delivery of our strategic priorities, but our focus is on extracting the desired value from our investments in leisure, A1 Lawn and Progreen.

On behalf of the Board, I would like to personally thank every employee owner for their continued hard work and commitment to the growth of the WCF legacy. Despite the challenging external climate, we continue to develop and implement strategies to offset the impact of the cost of living crisis and ensure WCF is more resilient for the future. We are confident in the medium-term outlook although we must be realistic to the short-term challenges facing many of our customers.



David A Routledge – Non-Executive Chair

ANNUAL SUMMARY

FUEL OIL DISTRIBUTION

Combined profits were 44% down on last year. Volumes were down 7.9%. Average bulk pence per litre margin was 4.7% lower than last year as markets stabilised.

The government changes on duty applied to red diesel implemented in Apr-22 resulted in significant product changes for many of our construction and non-agricultural customers, with far fewer of them switching to diesel than we had anticipated. Coupled with a dry, hot harvest and advanced crop techniques, our gas oil volumes fell significantly, down 43.4%. We have responded by competing aggressively in other areas, as well as seeking to grow our online share of domestic heating oil. All businesses now have individually branded websites capable of taking online orders.

To respond to these significant volume shifts, we changed our driver shifts in Jun-23, moving to a 4*10 pattern to increase daily delivery capacity and allow drivers more days off in what is a physical role. We will review the impact of this change over the next 6-12 months, as well as the impact on our vehicle replacement programs. Winter retention bonuses continue to help to reduce driver turnover during our periods of peak trading.

We can now source and deliver biofuels in the form of hydrogenated vegetable oil (HVO), but the price currently remains too high for most customers. Our Cumbrian business successfully ran the trials on behalf of the industry body UKIFDA as part of their demonstration presentation to government. We delivered just over 1m litres of HVO in the year.

We continue to improve working capital with a focus on aged debt and moving new commercial customers onto direct debit. Customer journey workflows have been automated to minimise the need for human intervention and reduce inbound calls. We continue to insure all large customer balances to mitigate overall exposure and automated the approval process during the year.

Despite losing almost 38% of gas oil volumes, **CHANDLERS'** overall volumes were only down by 7% with increases in diesel and kerosene. Online volumes grew 16%. A Savers Plan will be introduced online to allow customers to pay for their fuel in instalments. A loyalty scheme will be trialled and we will focus on continued expansion into Norfolk.

Volumes at **ALLAN STOBART LUBRICANTS & FUELS** grew 1.7% despite a 33% fall in gas oil, as agricultural volumes were offset with commercial diesel. This typically carries less margin resulting in a bulk margin shortfall of 15%. The customer base will be reviewed to ensure that commercial work brings in the value we require and we achieve our target of not less than 35% of revenues to come from new customers. The website will be used to increase market share in those areas where customer retention can be improved.



FUELS NORTH WEST exceeded profit targets despite a 12% fall in volume. It continued to diversify its commercial customer base in a larger geography. The business also acquired the assets of David Hall Transport which provided additional capacity for growth and presence in the Kirkham and Preston area. With a Feefo customer experience rating of 4.9 out of 5, the business enjoys high levels of domestic customer retention.

FUELS NORTH EAST has a large commercial base and was disproportionately impacted by the gas oil changes, losing 76% of its total volume. The driver/vehicle ratio has been adjusted to take this into account. Charles Hebdon retired in Jan-23, with his successor Paul Green being developed from within. The Peterlee vehicles were transitioned to Touchstar during the year which will facilitate stock management and routing.

LEISURE

A challenging year, with combined EBITDA only £0.3m. The cost-of-living crisis limited access to disposable income and a willingness to enjoy out of season short breaks. This had a disproportionate impact on family friendly and hot tub accommodation. Like for like revenues were down 8.9% on prior year which were favourably impacted by the ongoing pandemic overseas travel restrictions.

Whilst this is disappointing, it in no way impacts our ambition for the sites, nor their long-term outlook to generate EBITDA of not less than £0.5m at each site. There is scope to significantly increase rental revenues simply by building unit occupancy. We will keep guests engaged after their stay through a program of social media, emails and newsletters, as well as undertaking a program of PR to attract new guests.

During 2023 we have seen overseas visitors returning and the positive impact of our location-linked marketing, particularly in promoting Drummohr as a credible place to stay when visiting Edinburgh. The growth of this part of our business means we can dedicate specialised and focused marketing resource to digital advertising. The mix of accommodation is proving invaluable to cater for different budgets.

We continued to invest with lodge refurbishments at Drummohr and Longnor and new amenity blocks at Drummohr. Whilst a program of continued investment is required to maintain our 5-star standards we are reaching the end of a period of significant spent and will be focusing on internal lodge upgrades at Longnor in the coming year.

Our focus for 23/24 is to grow awareness of all the sites across each of their databases and incentivise and encourage guests to return. Whilst it is important to work with third party listings, our ambition is to reduce our reliance on these as a source of income and encourage guests to book direct as we have successfully done with Herding Hill to avoid commissions.

Bookings from our Castle Pods at **HERDING HILL FARM** were significantly short of target. It is taking us longer than we hoped to attract the adult-only market. Revenues were down 16.7% despite the addition of the new accommodation. In response to guest feedback, we converted two of the pods to dog friendly and reduced the minimum night stay which had a positive impact. The site was awarded the prestigious AA Platinum Pennant and was Highly Commended in the North East Tourism Awards for campsite of the year.

Following an extensive planned program of improvement at **DRUMMOHR**, including a full refurbishment of shared amenities, we were delighted to be awarded 5-star status by Visit Scotland. The site is a popular choice for Edinburgh events and for those travelling North. Whilst focus has been on filling lodge occupancy, we intend to market the site as a destination of choice for tourers. Solar panels have been installed to mitigate rising utility costs.



In its first full year revenues from 5-star adults only **LONGNOR WOOD** were around 21% short of target, driven by a lower number of lodge bookings. In particular, demand over Autumn was much lower than experienced historically. The site is heavily reliant on the Hoseasons booking platform which is very price sensitive to the actions of competitors and does not always rank like for like. Our new website will increase the portion of direct bookings. Opportunities to offer some form of on-site food provision are being explored given its remote location.

NICHE RETAILING

Net revenues in **HOME SHOPPING** were 6.1% down on last year and 11.8% down on target, with response rates dropping by 0.5%. Orders despatched were down 9.4%. The mature customer demographic was disproportionately impacted by the rising cost of energy and concerns around keeping warm impacting on propensity to spend. External factors such as the hot Summer, death of Queen Elizabeth, coronation of King Charles and the ongoing disruption caused by the postal strike all dampened catalogue response.



Price rises were required in Autumn 22 to combat rising supplier costs. The higher garment cost reduced response rates despite a £1 increase in the average order value and a 1.4% rise in gross margin. Media sales accounted for 25.7% and we attracted 41,400 new customers during the year, down 8,000 on 21/22.

There has been supply chain disruption during the year, with rising energy and paper costs pushing up catalogue production costs and threatening the viability of printers and fulfilment houses. 74% of revenues come from catalogues and hitting the right mailing pack costs is crucial. Several of our smaller product suppliers have closed, which will impact on product availability for future seasons as fabric is re-deployed and additional production capacity sought. We continue our efforts to dual source as much as possible.

Average returns of 16.8% were in line with prior year and much lower than the industry average. Online revenues reduced to 26%, with our target remaining 40%, as customers opted to return to telephone ordering.

We are introducing new catalogue formats and customer avatars to reinforce the unique brand personalities and will be moving to a combined James Meade mailing. We now have a data warehouse combining customer behaviours on and offline and will be using this to personalise our marketing and improve customer experience regardless of how they order from us, as well as providing unique insights to our newly created role of Customer Intimacy Champion. A customer loyalty scheme will be trialled and we are testing response rates for other WCF products and services as part of this process. The use of a Chatbot AI to facilitate the customer journey online has been implemented.

To improve working capital, we are reducing stock by £1m as customers move to making their purchasing decisions based on what is happening outside the window rather than planning forward for the season. Our target on-time despatch remains 90% and we achieved 89% in the year.

Our target for new product introduction is 50% of revenues and we achieved 39% in the year. Revenue from new customers was 18% against a target of 30%. Our active customer database fell 0.4%.

We will be adding solar panels to our Brampton warehouse in 2024 to reduce our carbon footprint.

PET & EQUESTRIAN enjoyed another year of growth, with like for like store revenues up 3.2% on last year and 1.5% in total. Kendal closed in February, its location not being suitable for future growth. Online revenues of own brand product grew 8.9% through both Amazon and our own website but remain small in the context of the overall business. 58% of sales were made on a customer loyalty card, up 7% on prior year.

The number of store transactions grew 24.2%, with average spend reducing by over £5 as customers made more frequent visits to buy only the things they needed to combat the cost of living crisis, as well as switching to cheaper alternatives.



Average gross margin % increased by 2% despite significant increases in product prices from suppliers. The store teams were successful in switching more people away from branded products, with own brand sales now accounting for almost 30%. We rationalised our product range, discontinuing low volume, low margin products and creating additional shelf space for those with higher sell-through rates. Pet sales increased to almost 60%, with pet products typically generating higher margins than some other product categories and the introduction of new own brand products such as dog beds.

Our focus for 23/24 is to re-launch our own brand dog feeds to create a linked and inspiring brand story that firmly connects us to our Cumbria legacy. Production is underway, with product being launched in store in Sept-23. This gives us a strong identity to deliver our growth aspirations of £1m online by the end of 2025. We will shift online despatch to our fulfilment warehouse in Peterborough by the end of 2023 and introduce an on-line loyalty scheme. With 2 years of customer buying habits collected we will be reviewing how we can personalise our interactions to improve customer intimacy. We will also be starting the process to replace our out-dated EPOS system.

PROGREEN had a challenging year, with revenues down almost 17% on target. Many customers who had bulk bought fertiliser at the start of the Ukraine war held off making repeat purchases as prices rose dramatically. The dry and hot Summer adversely impacted sales of weedkiller as weeds simply did not grow. Product margin fell 2.7% due to rising prices and a competitive landscape. Resource challenges meant that we were unable to launch the number of required new training courses. We now plan to launch 6 new courses over 23/24.

The business successfully relocated in January from Bourne, where it had been operating across a number of separate warehouses, to a fit-for purpose unit in Peterborough, with closer access to the road network and a better location for recruitment and training. We are actively recruiting for a number of key vacancies to support our growth aspirations.

Our grass seed business **A1 LAWN** relocated from Perth to Peterborough in March and work undertaken to consolidate the multi-channel order processing and despatch systems with Progreen. With some range cross over across different markets there are huge advantages for both businesses operating under the same roof, as well as opportunities to rationalise the supply chain. Work has been undertaken to analyse and separate their unique customer avatars to ensure that they are not competing against each other in the same markets and that relevant products are now represented on both websites.



Revenues from A1 Lawn increased almost 9%, with gross margins up 1.1%. Over 70% of A1 Lawn sales are generated through Amazon. A new range of wildflowers were introduced in Jun-23 and the range of grass seed and lawn fertilisers rationalised and re-launched to be more consumer friendly.

The combined business will benefit from additional marketing support, as well as using best practice from a customer data and contact strategy perspective to improve their journey, one of the benefits of being part of WCF. With much of the product knowledge lying with individual sales advisors we will be seeking to use AI to enable customers to self-serve their own journey as much as possible.

Warehouse system improvements are planned to ensure that our fulfilment is as efficient as it can be, with a view to moving other WCF e-commerce brands there by the end of 2023.

STRATEGIC REPORT

The Directors present their strategic report for the 52 weeks ended 27th May 2023. This explains how they have regard to wider stakeholder needs when performing their statutory duties under s172 of the Companies Act 2006.

STAKEHOLDERS

The primary stakeholders of WCF are its employee owners but the company balances the expectations of all principal stakeholders to achieve its overall strategic ambitions. The other principal stakeholders are the third-party shareholders, customers, suppliers, the local communities in which we operate and the members of the WCF Ltd Staff Retirement Benefit Scheme.

PRINCIPAL ACTIVITIES

The principal activities of WCF are niche retailing, leisure and fuel oil distribution, through a portfolio of brands which can be seen on the rear cover of the Annual Report. The company is structured into a series of decentralised business units, with day-to-day decision making delegated to the individual units. This empowers entrepreneurial leadership and allows employees to respond to the needs of customers flexibly and promptly, whilst engendering a sense of collective ownership and responsibility. The local teams are supported by a central pool of expertise, including marketing, finance, IT, H&S, HR, compliance and property.

A detailed review of operations is included in the Chair's Statement and Annual Summary.

BUSINESS REVIEW AND FUTURE DEVELOPMENTS

Profit after tax for the year as shown on page 17 amounted to £2,451,000 (2022: £4,042,000). Shareholders' funds as shown on page 19 total £37,913,000 (2022: £38,787,000).

A review of the business and future developments is included in the Chair's Statement and Annual Summary

BUSINESS ENVIRONMENT

The bulk fuel oil distribution market is fragmented and supports a consolidation strategy designed to increase market share and customer retention. The proven depot operating model provides operational resilience, and we operate minimum depot sizes to restrict any disruption caused by a vehicle being off the road. The market is highly seasonal and will always be impacted by the weather, with a high proportion of bulk margin being generated from domestic heating oil. The industry body UKIFDA is working closely to respond to the impact of the government's Clean Air Strategy on liquid fuels and an increasing portion of fuel contains some bio element. Fluctuations in the price of crude oil are monitored daily and the impact of these passed on in our prices to our customers. Significant and sudden changes in the price of oil impact on our working capital as well as our customer credit limits. We continue to credit insure all large debts.

The retail businesses are to a large extent driven by wider consumer confidence and demand, impacted by inflationary pressures and rising interest rates. These are more susceptible to the wider economic and political climate as people reduce their discretionary purchases. However, the mature niche in which the Home Shopping business operates ensures a high market share in this sector, with high levels of customer retention.

WCF is predominately a UK business, however the implications on tariffs and exchange rate volatility, following Britain's exit from the European Union at the end of 2020, do ultimately impact on commodity and raw material input prices, even where these goods are manufactured in the UK. The Home Shopping business relies to a large extent on overseas suppliers and the implications of this are monitored when designing product ranges, dual sourcing wherever possible and hedging foreign currency exposure. There has not been any material change demand for goods and services as a direct result of Brexit.

STRATEGY

The company uses its financial strength, leadership support and employee ownership structure to develop its existing businesses. The objective of every employee owner is to hand the business over to future generations of employees in a stronger position than when they inherited it so that others can benefit from its continued existence and resilience.

Using its decentralised co-owned structure, the company aims to create a workplace where every employee matters and has a unique opportunity to make a difference to its performance with meaningful, interesting and diverse roles. By generating higher levels of employee engagement than its competitors, the company can create responsible and sustainable long-term value for its shareholders, whilst sharing the benefits of co-owned success with all its colleagues.

The company's mix of diversified income streams is designed to minimise risk by having a broad spread of activities and locations. This limits the impact of adverse performance in any single business. The company's results continue to be driven by its Home Shopping and bulk fuel oil distribution businesses on account of their size. The company has a long track record of organic and acquisitive growth and a focused acquisition strategy. Each business unit has their own strategic plan focused around the key areas of customer intimacy, financial performance, people and culture, continuous improvement and environmental/H&S.

To grow market share and profitability the company seeks to increase customer retention and referral, extend its share of a customer's total spend by increasing both frequency and average order value, find new customers, develop new products and engage its people in meaningful, diverse and interesting roles find new ways to work to improve performance, efficiency, and productivity.

KEY PERFORMANCE INDICATORS (KPI'S)

Each individual business has a unique set of measures that are used to evaluate performance and communicate strategic and financial progress to their employee owners and to the Board. These measures are monitored monthly against benchmarks, prior year actuals and current year targets and revised annually as part of the annual budgeting process.

Financial measures include turnover, volumes, occupancy, gross or bulk margin, operating profit, stock turn, average transaction values, customer acquisition and retention.

Targets include % of own brand, 5-star customer reviews, cost per acquisition, catalogue response rates, on time despatch, supplier performance, lost sales, cross-selling, miles per drop, transport costs per litre and number of deliveries. Internet performance is measured via advertising cost of sale, visitor numbers and conversion rates. H&S performance is monitored closely, with all accidents, incidents and near misses recorded and investigated, no matter how minor. Employee engagement is measured using voluntary staff turnover, net promoter scores and participation in employee surveys.

PRINCIPAL RISKS AND UNCERTAINTIES

The company's diverse operations expose it to a number of risks. The Board is responsible for risk management and monitors the key risks to identify, evaluate and prioritise, as well as ensuring that suitable processes are in place to avoid, control or mitigate where possible.

The principal risks and uncertainties affecting the group include the following:

- **Cyber security event resulting in operational disruption or a breach of confidential or sensitive data** - the company recognises the threat of cyber fraud and has measures in place to protect its systems and information from attack which could inhibit our ability to operate effectively including the use of a third-party Virtual Security Officer. Our networked IT systems are centralised, allowing all our individual businesses to benefit from control measures to protect us from business interruption and provide disaster recovery should we be the target of a cyber threat. The company has close relationships and outsourced support agreements with key software, hardware and network vendors and have expanded their IT department.

- **Breach of regulation or occurrence of a major health, safety or environmental incident** – the company has an ongoing process for ensuring that its vehicles, depots and processes are compliant with current and forthcoming legislation and regulation and uses both internal and external audit mechanisms to verify that these are acting as intended. Both directly and via its membership of associated trade bodies, the company strives to incorporate best practice into its processes and employs appropriately qualified and experienced personnel responsible for compliance.
- **Supply chain disruption** – the majority of purchases are made from long standing supply partners and are dual sourced wherever possible to maintain continuity of supply. Lengthening lead times mean that a lot of product is bought in bulk in advance, whilst optimising our stock levels. Our fuels businesses have the ability to store a small amount of stock and switch to alternative supply sources. In retail, where disruption to supply did arise, we would try to switch customers to alternative products or de-list products if required.
- **Failure to grow market share and seize new opportunities, as well as realising the benefits of strategic acquisitions** – the company is engaged in ongoing reviews of competitor activity, as well as evaluation of business development and acquisition opportunities. Detailed strategic business and marketing plans are in place. Digital and offline marketing programs promote referral and customer retention, as well as winning new customers and markets. Extensive use of customer data is made to understand their patterns, trends and behaviours and influence strategic decision making. The centralisation of our marketing team means that all businesses have access to the expert levels of advice and decision making.
- **Insufficient bandwidth of key people and failure to attract the right people to our roles** – succession planning and the continued development of key employees is a key part of the strategic planning process to attract, retain and motivate the right people. Significant efforts have been made to raise the profile of our employer brand. Employee surveys are utilised to monitor engagement. We are committed to promoting the benefits of employee ownership to ensure that this remains a point of difference for those who choose to work with us.
- **Over-reliance on specific income streams**– we have a diversified income stream, with diversified customer bases within each business. There are no major customer contracts in place that would materially impact on revenues. Whilst the business has traditionally been seasonally weighted towards Winter, this is being addressed by the expansion into Leisure and the acquisition of Progreen and A1 Lawn. However, demand for bulk fuel oil is impacted by the weather and the severity of Winter drives demand for domestic heating oil. This creates a risk of volatility in earnings, which we seek to mitigate by providing a range of fuel oils to different markets and customers. Through the company we operate a mix of sales channels. Whilst our customers are inevitably migrating on-line the pace of change is slow.
- **Unexpected financial expenditure and credit risk** – the company's decentralised structure relies on a high level of devolved authority. Payment risk is mitigated by having dual payment authorisation. Credit checks are performed on all commercial customers and assigned credit limits are closely monitored, with attention being given to oil prices and the wider economic climate. Credit insurance is maintained on higher level accounts and rigorous credit control processes are in place especially in Fuels. In our B2C businesses, payments are made in advance by credit or debit card.
- **Inability to meet pension scheme obligations**– the defined benefit pension scheme is closed to both new members and to future accrual. Liabilities of retirees are currently bought out with an insurance company. The company works closely with the Independent Trustee to monitor and review investment policy and funding requirements and to identify opportunities to mitigate risk.

By order of the board
P.A. Murray, Company Secretary
14 September 2023

DIRECTORS' REPORT

The Directors present their annual report and audited financial statements for the 52 weeks ended 27 May 2023.

DIVIDENDS

The directors authorised an ordinary dividend in respect of the current financial year of 30p per share (2022: 73p) totalling £1,132,000 (2022: £2,754,000). This has not been included within creditors as it was not approved by the directors before the year end.

DIRECTORS AND OFFICERS

The directors and officers who held office during the year were as follows:

P.A. Murray (Company Secretary)	D.A. Routledge
P.J. Murray	M.S. Ward
J.L. Ritzema	R.J. Jenkins (resigned 01.04.23)

Under the Companies Act 2006 there is no requirement for the directors of a private company to retire by rotation.

At no time during the year did any director have a material interest in a contract with the company other than as a customer in the normal course of business; these contracts were not significant in relation to the company's activities. No directors benefited from qualifying third party indemnity provisions.

COMMITMENT TO SECTION 172 AND OTHER STAKEHOLDER ENGAGEMENT

Section 172 of the Companies Act 2006 states that the directors must act in the way they consider, in good faith, would most likely promote the success of the company for the benefit of its members, taking into account the long-term consequences of their decisions on the interests of all stakeholders, including employees, as well as the need to act fairly between the stakeholders. The company recognises the need to foster strong business partnerships with its key suppliers and customers and consider the impact of its operations on the community and environment. Our employees are our most important asset.

Our customers are always at the heart of our decision making and we are passionate about delivering quality of product and service. We seek feedback regularly through surveys, review sites, account management and direct conversation and use any constructive feedback to ensure we improve what we do.

Our suppliers are crucial and we work with a small number of key supply partners on a mutually beneficial basis. We have policies around anti-bribery and corruption and comply with the Modern Slavery Act 2015 and are contributing members of relevant trade and industry bodies.

We support and encourage sustainable practices and are mindful of the impact of what we do on the environment, as well as investing in technology to improve the efficiency of our transport planning operations. We have a continued program of depot improvement and planned maintenance.

We publish our gender pay gap annually, recognising that there are significant difference in roles between our various diversified businesses. We work closely within the rural communities in which our operations are located.

We are confident that our business decisions are made with the intention of doing the right thing for our key stakeholders and are committed to the highest standards of professional and business conduct.

EMPLOYMENT

Under the leadership of individual General Managers, the company operates a decentralised structure, giving employees the autonomy and responsibility they need to make the day to day decisions required to deliver exceptional customer service.

The company tries to consider employee views as much as possible through the use of email newsletters, suggestion and nomination schemes, surveys, forums, one to ones, toolbox talks and focus groups to ensure there is adequate consultation and communication on matters that are likely to affect their interests. Along with our risk assessments and safe systems of work, these are also used to ensure the health, safety and welfare at work of all our employees, customers, contractors and visitors.

Our Guiding Principles form the cultural contract between the company and its employees in respect of the values and the behaviours we expect from all our staff. These are reinforced in our communications, training, personnel policies and behavioral job descriptions.

The company is strongly committed to employee share ownership and operates Save as You Earn, Partnership Share and Profit Share Schemes for all employees. All employees benefit from an annual employee ownership dividend allowing them to share in our financial success.

WCF operates an equal opportunities employment policy and is opposed to all forms of discrimination. Our selection processes always seek to give full and fair consideration to all applicants taking into account their aptitude, skills and experience. The company ensures that the training, career development and promotion of its employees is not discriminatory in any way. In the event of employees becoming disabled, every effort is made to ensure their employment continues and appropriate training arranged.



FUTURE DEVELOPMENTS

An indication of future developments is included in the Chair's Statement & Business Review.

STRATEGIC REPORT

The information required by schedule 7 of the large and medium sized Companies and Groups (accounts and reports) Regulations 2008 has been included in the separate strategic report in accordance with section 414 c of the Companies Act 2006.

ENERGY AND EMISSIONS

UK energy use covers all our selling, administration, warehouse, retail, leisure and logistics activities. Associated greenhouse gases have been calculated using GHG Reporting Standard - Corporate Protocol. WCF is registered as compliant with the Energy Savings Opportunity Scheme (ESOS). The majority of our energy usage is diesel for the tankers used in our oil distribution business and electricity on our campsites. In the period covered by the report the company has undertaken a number of energy efficient actions by installing LED lighting, replacing old equipment, introducing vehicle telematics and safe and efficient driver training and automated routing software and reducing our use of single use plastics. We continue to improve our routing software to eliminate unnecessary mileage.

	2023	2022
UK Energy Use kWh	13,384,818	13, 241,987
Associated greenhouse gas emissions kg Co2e	3,294,622	3,319,772
Intensity Ratio Emissions per number of employees	8,739	10,215

We have calculated the carbon emissions and kWh figures using the UK Government's 2023 Conversion Factors for company reporting.

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RESPECT OF THE STRATEGIC REPORT, DIRECTORS' REPORT AND THE FINANCIAL STATEMENTS

The directors are responsible for preparing the Strategic Report, Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice) including FRS102, *The Financial Reporting Standard applicable in the UK and Republic of Ireland*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company and of the profit or loss of the group for that period.

In preparing the group financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed subject to any material departures disclosed and explained in the financial statements; and
- prepare the consolidated financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company and group's transactions and disclose with reasonable accuracy at any time the financial position of the company and the group and enable them to ensure that the financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and company and to prevent and detect fraud and other irregularities.

DISCLOSURE OF INFORMATION TO AUDITOR

The directors who held office at the date of approval of this directors' report confirm that, so far as each of them are aware, there is no information relevant to the audit of the company's consolidated financial statements for the 52 weeks ended 27 May 2023 of which the company's auditor is unaware; and each director has taken all the steps that they ought to have taken as a director to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information.

By order of the board
P.A. Murray, Company Secretary
14 September 2023

WCF Ltd
Registered number: 02263148

INDEPENDENT AUDITOR'S REPORT

to the members of WCF Ltd

OPINION

We have audited the financial statements of WCF Ltd (the 'parent company') and its subsidiaries (the 'group') for the 52 week period ended 27 May 2023 which comprise the consolidated profit and loss account, the consolidated statement of comprehensive income, the group balance sheet, the company balance sheet, the group statement of changes in equity, the company statement of changes in equity, the group statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

- In our opinion, the financial statements:
- give a true and fair view of the state of the group's and of the parent company's affairs as at 27 May 2023 and of the group's profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

CONCLUSIONS RELATING TO GOING CONCERN

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's and parent company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

OTHER INFORMATION

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

OPINIONS ON OTHER MATTERS PRESCRIBED BY THE COMPANIES ACT 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

MATTERS ON WHICH WE ARE REQUIRED TO REPORT BY EXCEPTION

In the light of the knowledge and understanding of the group and the parent company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

RESPONSIBILITIES OF DIRECTORS

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The specific procedures for this engagement and the extent to which these are capable of detecting irregularities, including fraud, is detailed below.

- Enquiries with management, including directors, about any known or suspected instances of non-compliance with laws and regulations and fraud;
- Challenging assumptions and judgements made by management in their significant accounting estimates, in particular in relation to the valuation of share options granted during the year, the valuation and classification of investment properties and the key assumptions used in the valuation of the defined benefit pension deficit.
- Auditing the risk of management override of controls, including through testing journal entries and other adjustments for appropriateness;

- Reviewing board minutes and resolutions, and
- Auditing the risk of fraud in revenue, including through the testing of income cut off at the period end and through sales transaction testing, in order to provide comfort that revenue is completely stated in the financial statements.

Because of the field in which the client operates, we identified the following areas as those most likely to have a material impact on the financial statements: Health and Safety regulations, data security, environmental standards, transportation of dangerous goods regulations, and compliance with the Registered Dealers in Controlled Oil regulations.

Owing to the inherent limitations of an audit, there is an unavoidable risk that some material misstatements in the financial statements may not be detected, even though the audit is properly planned and performed in accordance with the ISAs (UK). For instance, the further removed non-compliance is from the events and transactions reflected in the financial statements, the less likely the auditor is to become aware of it or to recognise the non-compliance.

A further description of our responsibilities is available on the Financial Reporting Council's website at: <https://www.frc.org.uk/auditorsresponsibilities>. This description forms part of our auditor's report.

USE OF OUR REPORT

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Paul Williams (Senior Statutory Auditor)
 For and on behalf of MHA Moore and Smalley
 Chartered Accountants
 Statutory Auditor
 Richard House
 9 Winckley Square
 Preston PR1 3HP

14 September 2023

CONSOLIDATED PROFIT & LOSS ACCOUNT

For the 52 weeks ended 27 May 2023

	NOTE	2023 £'000	2022 £'000
Turnover		278,554	243,122
Cost of sales		(249,834)	(212,188)
Gross profit		28,720	30,934
Other operating expenses/income			
Other operating expenses	2	(24,544)	(24,590)
Other operating income	5	5	10
Other operating expenses before amortisation		(24,539)	(24,580)
Amortisation	9	(1,111)	(573)
Other operating expenses after amortisation		(25,650)	(25,153)
Operating profit	4	3,070	5,781
Interest receivable and similar income		201	45
Revaluation of fixed asset investments	11	(106)	(55)
Interest payable and similar expenses	3	-	(43)
Profit on ordinary activities before profit share		3,165	5,728
Employee profit share	6	203	(464)
Profit before taxation		3,368	5,264
Taxation	7	(917)	(1,222)
Profit for the financial period		2,451	4,042

The above results were derived from continuing operations.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the 52 weeks ended 27 May 2023

	NOTE	2023 £'000	2022 £'000
Profit for the period		2,451	4,042
Other Comprehensive Income/(Expense)			
Actuarial (loss)/gain recognised on retirement benefits	21	(666)	1,780
Deferred tax on actuarial (loss)/gain	19	167	(338)
Other Comprehensive Income/(Expense) for the period, net of income tax		(499)	1,442
Total Comprehensive Income for the financial period		1,952	5,484

The notes on pages 23 to 44 form an integral part of these accounts.

BALANCE SHEETS

At 27 May 2023

ASSETS EMPLOYED

Fixed assets

		2023 £'000	2022 £'000	2023 £'000	2022 £'000
Intangible assets	9	3,645	4,653	3,642	1,065
Tangible assets	10	15,257	14,812	15,257	13,440
Investments	11	1,703	3,772	1,703	3,772
Investment property	12	1,005	1,005	1,005	1,005
Investment in subsidiaries	20	-	-	2	5,086

21,610	24,242	21,609	24,368
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Current assets

Stocks	14	6,691	9,292	6,691	8,278
Debtors	15	18,012	22,175	18,012	23,122
Cash at bank and in hand		10,696	10,102	10,696	9,023

35,399	41,569	35,399	40,423
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Creditors:

Amounts falling due within 1 year	16	(18,103)	(26,191)	(18,108)	(25,184)
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Net current assets		17,296	15,378	17,291	15,239
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Total assets less current liabilities

38,906	39,620	38,900	39,607
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Creditors:

Amounts falling due after more than 1 year	17	(10)	(11)	(10)	-
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38,896	39,609	38,890	39,607
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Provisions for liabilities

Deferred tax provision	19	(1,068)	(722)	(1,068)	(667)
Net retirement benefits asset/(liability)	21	85	(100)	85	(100)

37,913	38,787	37,907	38,840
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Net assets

Capital and reserves

Called up share capital	18	3,773	3,773	3,773	3,773
Capital redemption reserve		4,446	4,446	4,446	4,446
Fair value reserve		508	508	508	508
Investment in own shares		(2,635)	(2,872)	(2,635)	(2,872)
Retained earnings		31,821	32,932	31,815	32,985

Shareholders' funds		37,913	38,787	37,907	38,840
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No profit and loss account is presented for the company as permitted by Section 408 of the Companies Act 2006. The company made a profit after tax for the financial period of £3,002,000 (2022 - profit of £4,542,000).

The financial statements on pages 17 to 44 were approved by the Board of Directors on 14 September 2023 and were signed on its behalf by:

D A Routledge, Chair

J L Ritzema, Managing Director

Registered Number 02263148

The notes on pages 23 to 44 form an integral part of these accounts.

STATEMENTS OF CHANGES IN EQUITY

For the 52 weeks ended 27 May 2023

	Called up share capital £'000	Retained earnings £'000	Capital redemption reserve £'000	Investment in own shares £'000	Fair value reserve £'000	Total equity £'000
Balance at 30 May 2021	3,773	29,109	4,446	(2,772)	508	35,064
Group						
Changes in equity						
Total comprehensive income	-	5,484	-	-	-	5,484
Share appropriation	-	490	-	-	-	490
Other gains and losses on shares	-	(12)	-	-	-	(12)
Share appropriation over provision	-	(26)	-	-	-	(26)
Reversal of prior year share appropriation	-	(302)	-	-	-	(302)
Dividend paid to external shareholders	-	(1,811)	-	-	-	(1,811)
Movement in investment in own shares during the year	-	-	-	(100)	-	(100)
Balance at 28 May 2022	3,773	32,932	4,446	(2,872)	508	38,787
Group						
Changes in equity						
Total comprehensive income	-	1,952	-	-	-	1,952
Share appropriation	-	-	-	-	-	-
Other gains and losses on shares	-	8	-	-	-	8
Proceeds from sale of forfeited shares relating to prior periods	-	(146)	-	-	-	(146)
Share appropriation under provision	-	10	-	-	-	10
Reversal of prior year share appropriation	-	(500)	-	-	-	(500)
Dividend paid to external shareholders	-	(2,435)	-	-	-	(2,435)
Movement in investment in own shares during the year	-	-	-	237	-	237
Balance at 27 May 2023	3,773	31,821	4,446	(2,635)	508	37,913

STATEMENTS OF CHANGES IN EQUITY (continued)

For the 52 weeks ended 27 May 2023

	Called up share capital £'000	Retained earnings £'000	Capital redemption reserve £'000	Investment in own shares £'000	Fair value reserve £'000	Total equity £'000
Company						
Balance at 30 May 2021	3,773	28,897	4,446	(2,772)	508	34,852
Changes in equity						
Total comprehensive income	-	5,984	-	-	-	5,984
Share appropriation	-	490	-	-	-	490
Other gains and losses on shares	-	(12)	-	-	-	(12)
Share appropriation over provision	-	(26)	-	-	-	(26)
Reversal of prior year share appropriation	-	(302)	-	-	-	(302)
Dividend paid to external shareholders	-	(1,811)	-	-	-	(1,811)
Movement in investment in own shares during the year	-	-	-	(100)	-	(100)
Goodwill accumulated amortisation on hive up	-	(235)	-	-	-	(235)
Balance at 28 May 2022	3,773	32,985	4,446	(2,872)	508	38,840
Company						
Changes in equity						
Total comprehensive income	-	2,503	-	-	-	2,503
Share appropriation	-	-	-	-	-	-
Other gains and losses on shares	-	8	-	-	-	8
Proceeds from sale of forfeited shares relating to prior periods	-	(146)	-	-	-	(146)
Share appropriation under provision	-	10	-	-	-	10
Reversal of prior year share appropriation	-	(500)	-	-	-	(500)
Dividend paid to external shareholders	-	(2,435)	-	-	-	(2,435)
Movement in investment in own share during the year	-	-	-	237	-	237
Goodwill accumulated amortisation on hive up	-	(610)	-	-	-	(610)
Balance at 27 May 2023	3,773	31,815	4,446	(2,635)	508	37,907

CONSOLIDATED STATEMENT OF CASH FLOWS

For the 52 weeks ended 27 May 2023

	NOTE	2023 £'000	2022 £'000
Cash flows from operating activities			
Profit for the year		2,451	4,042
Adjustments for:			
Depreciation and amortisation charges		2,676	1,977
Profit on disposal of fixed assets		(262)	(108)
Interest payable and similar charges		-	43
Revaluation of fixed asset investments		106	55
Interest receivable and similar income		(201)	(45)
Movement in retirement benefit asset		(840)	(798)
Employee Profit Share		(203)	464
Taxation		917	1,222
		4,644	6,852
Decrease/(increase) in stocks		2,601	(2,981)
Decrease/(increase) in trade and other debtors		4,163	(8,773)
(Decrease)/increase in trade and other creditors		(7,621)	9,230
		3,787	4,328
Tax paid		(868)	(439)
Net cash from operating activities		2,919	3,889
Cash flows from investing activities			
Purchase of tangible fixed assets		(2,108)	(1,718)
Purchase of intangible assets		(23)	(93)
Sale of tangible fixed assets		520	643
Interest received		190	45
Acquisition of investments		(37)	(48)
Business combination		(240)	(5,156)
Proceeds from disposal of investments		2,000	3,500
Net cash from investing activities		302	(2,827)
Cash flows from financing activities			
Movement of own shares		99	(112)
Equity dividends paid		(2,435)	(1,811)
Employee profit share paid		(500)	(302)
Proceeds from sale of forfeited shares		213	-
Hire purchase repayments		(4)	(1)
Net cash from financing activities		(2,627)	(2,226)
Net decrease in cash and cash equivalents		594	(1,164)
Cash and cash equivalents at beginning of period	24	10,102	11,266
Cash and cash equivalents at end of period	24	10,696	10,102

The notes on pages 23 to 44 form an integral part of these accounts.

NOTES TO THE FINANCIAL STATEMENTS

1. ACCOUNTING POLICIES

WCF Limited is a company limited by shares and incorporated and domiciled in England. The registered office is Crawhall, Brampton, Cumbria CA8 1TN.

Period of accounting The financial statements have been prepared for the 52 week period ended 27 May 2023 and any references to the 'year' or 'period' in these accounts relate to this financial year.

Basis of accounting The financial statements have been prepared on a going concern basis in accordance with Financial Reporting Standard 102 "The Financial Reporting Standard applicable in the UK and Ireland" and the Companies Act 2006 including the provisions of the large and medium sized companies and groups (Accounts and Reports Regulations) 2008. The financial statements have been prepared under the historical cost convention as modified by the revaluation of certain assets in the current and prior periods, as set out below.

Reduced disclosures This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements.

- Section 4 'Statement of Financial Position' - Reconciliation of the opening and closing number of shares;
- Section 7 'Statement of Cash Flows' - Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' & Section 12 'Other Financial Instrument Issues' - Carrying amounts, interest income/expense and net gains/losses for each category of financial instrument, basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 26 'Share based Payment' - Share-based payment expense charged to profit or loss, reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements.
- Section 33 'Related Party Disclosure' - Compensation for key management personnel.

Currency The financial statements have been prepared in UK sterling in round thousands.

Basis of consolidation The consolidated financial statements consolidate the financial statements of the company and its subsidiary undertakings drawn up to 27 May 2023. A subsidiary is an entity controlled by the company. Control is achieved where the company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed of during the period are included in the Profit and Loss Account from the effective date of acquisition or up to the effective date of disposal, as appropriate. Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by the group.

The purchase method of accounting is used to account for business combinations that result in the acquisition of subsidiaries by the group. The cost of a business combination is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the business combination. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. Any excess of the cost of the business combination over the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities recognised is recorded as goodwill.

1. ACCOUNTING POLICIES (continued)

Inter-company transactions, balances and unrealised gains on transactions between the company and its subsidiaries, which are related parties, are eliminated in full. Intra-group losses are also eliminated but may indicate an impairment that requires recognition in the consolidated financial statements.

Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the group.

Turnover Turnover represents the amount receivable by the company in the ordinary course of business, net of value added tax, for goods and services supplied outside the company. Turnover is recognised on delivery of the goods or service.

No separate analysis of turnover has been provided in the notes to the financial statements, as in the opinion of the directors, to do so would be commercially prejudicial to the interests of the company.

Tangible fixed assets and depreciation Fixed assets are stated at cost, less accumulated depreciation. Depreciation is charged using either straight line basis or reducing balance method over the estimated useful economic life of the assets. No depreciation is charged on freehold land.

The following rates are applied by the company and group and are consistent with the prior financial year.

	Depreciation rates
Freehold buildings	2 - 4%
Leasehold buildings	Over length of lease
Plant and machinery	5 - 50%
Vehicles	20 - 50%

The gain or loss arising on the disposal of a fixed asset is determined as the difference between the net sale proceeds and the carrying amount of the asset. Where significant property or land disposals are made, these are not considered to constitute normal operating conditions and therefore disclosed below operating profit.

Government grants Grants relating to revenue are recognised in the profit and loss account on a systematic basis over the periods in which the related costs are recognised for which the grant is intended to compensate. Grants for the purpose of giving immediate financial support with no future related costs to be incurred are recognised in the profit and loss account when the grant proceeds become receivable.

Investment property Investment properties are properties held by the company to earn rentals and/or for capital appreciation. Investment properties are initially measured at cost, including transaction costs. Subsequently investment properties are measured at fair value by the directors with reference to corroborative market valuations. Investment property valuations are based on a fair value. Deferred tax is provided on these movements. Gains and losses arising from changes in the fair value of investment properties are included in the profit and loss account in the period in which they arise.

Cash and cash equivalents These are assets that are readily convertible into cash and includes current bank accounts, fixed term deposits and savings accounts, petty cash and currency.

Lessor accounting Assets held and leased to third parties are capitalised within tangible fixed assets and depreciated in accordance with the above policy. Lease rental receipts are credited to the profit and loss account in the period to which they relate.

1. ACCOUNTING POLICIES (continued)

Operating lease Payments (excluding costs for services and insurance) made under operating leases are recognised in the profit and loss account on a straight-line basis over the term of the lease unless the payments to the lessor are structured to increase in line with expected general inflation; in which case the payments related to the structured increases are recognised as incurred. Lease incentives received are recognised in profit and loss over the term of the lease as an integral part of the total lease expense. Premiums payable, rent free periods and capital contributions receivable on entering an operating lease are released on a straight line basis over the lease term or first break if applicable.

Finance lease Minimum lease payments are apportioned between the finance charge and the reduction of the outstanding liability using the rate implicit in the lease. The finance charge is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent rents are charged as expenses in the periods in which they are incurred.

Goodwill Purchased and acquisition goodwill is amortised on a straight line basis over 5 years. Any impairment is recognised immediately.

Stocks The basis of valuation of stocks is the lower of cost to the company and estimated net realisable value after considering any impairment losses.

Taxation The charge for corporation tax is based on the results for the year adjusted for items which are not taxed or are disallowed. It is calculated using tax rates in legislation that has been enacted or substantively enacted by the balance sheet date.

Deferred tax has been recognised as an asset or liability if transactions have occurred at the balance sheet date that give rise to an obligation to pay more tax in the future, or a right to pay less tax in the future. An asset is not recognised to the extent that the transfer in economic benefits in the future is uncertain. Deferred tax assets and liabilities recognised have not been discounted. Deferred tax is fully provided in respect of timing differences to the extent that it is probable a liability will arise or an asset will be recoverable in the foreseeable future.

Deferred tax is calculated at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled.

Fixed asset investments Equity investments are recognised initially at cost which is normally the transaction price (but excludes any transaction costs, where the investment is subsequently measured at fair value through the profit and loss). Subsequently they are measured at fair value through profit or loss except for those equity investments that are not publicly traded and whose fair value cannot otherwise be measured reliably which are recognised at cost less impairment until a reliable measure of fair value becomes available.

Investments in subsidiaries Investments in subsidiaries are measured at cost less impairment.

Trade debtors Trade debtors are initially recognised at transaction price and subsequently measured at amortised cost less allowances for situations where recovery is doubtful. Such allowances are based on an individual assessment of each allowance.

Trade creditors Trade creditors are initially recognised at transaction price and subsequently measured at amortised cost.

Employee Benefit Trust: The company is a sponsoring entity of WCF EBT in accordance with section 9, FRS102. The assets and liabilities of the EBT are recognised as an extension of WCF Ltd and are included in these financial statements. Appropriations are not disclosed within operating profit, as the directors consider the presentation adopted more accurately reflects the nature of the charge.

1. ACCOUNTING POLICIES (continued)

Foreign currencies Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

Pensions For the company's defined benefit scheme the amounts charged to operating profit are the gains and losses on ordinary settlements and curtailments. They are included as part of staff costs. Past service costs are recognised immediately in the profit and loss account to the extent that the benefits are already vested, otherwise the costs are recognised over the period until vesting occurs. The interest cost and the expected return on assets are shown as a net amount of other charges or income adjacent to interest payable in the profit and loss account. Actuarial gains and losses are recognised immediately in the statement of other comprehensive income.

The assets of the scheme are held separately from those of the company in a separate trustee administered fund.

The assets of the pension scheme are measured at fair value and liabilities are measured on an actuarial basis using the projected unit method and discounted at a rate equivalent to the current rate of return on a high quality corporate bond of equivalent currency and term to the scheme liabilities. The actuarial valuations are obtained at least triennially and are updated at each balance sheet date. The resulting defined benefit asset or liability excluding the related deferred tax, is presented separately after other net assets on the face of the balance sheet.

Employer contributions made to the company's stakeholder and other defined contribution schemes are charged as an expense in the period to which they relate.

Share Based Payments Share-based payments relate to Save As You Earn options issued to employees which vest over 3 or 5 years and the company's annual employee profit share plan.

The fair value of employee share option plans is calculated at the grant date using the Black-Scholes model and the resulting cost charged to the profit and loss account over the vesting period, adjusted to reflect the company's estimate of shares that will eventually vest. The fair value of the employee profit share plan is calculated using the market value of the shares at the date of the award. The resulting cost is charged to the profit and loss account in the year in which the profit share is earned, if material.

Going Concern Policy The directors, having considered the current trading prospects, identifiable risks, working capital requirements and the level of cash held, are of the opinion that the company and group is a going concern having prepared forecasts for a period of at least 12 months from the date of signature of these financial statements. The accounts have been prepared on this basis.

Key judgements and sources of estimation uncertainty: The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the amounts reported for assets and liabilities as at the balance sheet date and the amounts reported for revenues and expenses during the year. However, the nature of estimation means that actual outcomes could differ from those estimates. The following judgements (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements: Pension Assumptions for details of the assumptions made please refer to note 21 Pension Commitments. The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows:

Share based payment charge

The fair value of the share options has been estimated by the directors using the Black Scholes option pricing model. The directors were required to decide on a number of key inputs used in this model, as disclosed in note 23.

2. OTHER OPERATING EXPENSES

	2023 £'000	2022 £'000
Distribution costs	15,907	15,315
Administration costs	8,637	9,275
Other operating expenses	24,544	24,590

3. INTEREST PAYABLE AND SIMILAR CHARGES

	2023 £'000	2022 £'000
Net interest on the defined benefit pension liability	-	43
	-	43

4. EXPENSES AND AUDITOR'S REMUNERATION

	2023 £'000	2022 £'000
Included in operating profit are the following:		
Profit on sale of tangible fixed assets	262	108
Rents receivable	179	184
Income from fixed asset investments	27	87
And after charging:		
Depreciation of tangible fixed assets	1,565	1,404
Amortisation of intangible assets	1,111	573
Other operating lease rentals	2,317	2,181
Auditor's remuneration:		
Audit of these financial statements	50	45

5. GOVERNMENT GRANTS

Included in the profit and loss account are government grants receivable in respect of UK government initiatives to respond to the financial impact of the COVID-19 pandemic, namely the Coronavirus Job Retention Scheme and the Local Restrictions Support Grants. The amount of grants recognised in the financial statements was nil (2022 - £5,000). Additional grant income in relation to apprenticeship schemes of £5,000 (2022 - £5,000) was also received in the year.

6. DIRECTORS AND EMPLOYEES

The average number of employees including executive directors during the year is split as follows:

	2023 Number	2022 Number
Administration	165	150
Operational	212	175
	377	325

Transactions with key management personnel

Total compensation of key management personnel (including the directors) in the year amounted to £1,956k (2022: £1,909k).

Employee costs:

Wages and salaries (including redundancy)
Social security
Pension contribution

	2023 £'000	2022 £'000
Wages and salaries (including redundancy)	10,305	10,195
Social security	1,025	889
Pension contribution	613	568
	11,943	11,652

Directors' remuneration:

Fees
Emoluments (excluding pension contributions)
Benefits in kind
Pension contributions

	2023 £'000	2022 £'000
Fees	50	45
Emoluments (excluding pension contributions)	435	397
Benefits in kind	24	24
Pension contributions	44	43
	553	509

Directors to whom retirement benefits were accruing was as follows:

Money purchase schemes

	2023 £'000	2022 £'000
Money purchase schemes	2	2
The number of directors who exercised share options was	-	1

6. DIRECTORS AND EMPLOYEES (continued)

Highest paid Director:

	2023 £'000	2022 £'000
Emoluments	221	200
Pension contributions	30	30
Benefits in kind	16	17
Aggregate emoluments	267	247

The highest paid director exercised nil share options during the year (2022: 3,289) at an option price of £nil per share (2022: £4.56 per share).

All Employee Share Ownership Plan (AESOP)

The AESOP was established to enable employees to continue to share in the success of the company. Free shares are awarded to eligible employees in respect of a financial year if the company makes or exceeds its profit budget for that financial year. The profit budget was not achieved in the current financial year and consequently no provision has been made for the purchase of shares (2022: £490,000). An under provision from prior year of £10,000 was charged (2022: £26,000 released).

Included in the profit and loss account is a credit of £213,000 (2022: £nil) relating to proceeds from the sale of forfeited shares under the AESOP, comprising £67,000 from year ended 27 May 2023 and £146,000 from prior period.

7. TAXATION

Total tax expense recognised in the profit & loss account and other comprehensive income

Current tax

	2023 £'000	£'000	2022 £'000	£'000
Current tax on income for the period	404		787	
Adjustment for prior period	-		(2)	
Total current tax		404		785

Deferred tax

Origination and reversal of timing differences	513		437	
Deferred tax loss/(gain) on actuarial gain/(loss) (recognised in other comprehensive income)	(167)		338	

Total deferred tax		346		775
Total tax		750		1,560

7. TAXATION (continued)

Reconciliation of effective tax rate

	2023 £'000	2022 £'000
Profit for the period	2,451	4,042
Total tax expense	917	1,222
Profit excluding taxation	3,368	5,264
Tax using the UK corporation tax rate of 20% (2022: 19%)	674	1,000
Income not chargeable for tax purposes	(5)	(10)
Expenses not deductible for tax purposes	14	94
Other permanent differences	196	(6)
Market value adjustment in respect of exercised share options	(16)	(14)
Gains not taxable	(47)	(2)
Change in deferred corporation tax rates	-	160
Change in corporation tax rates	101	-
Total tax expense included in profit & loss	917	1,222

An increase in the UK corporation tax rate to 25% from 1 April 2023 was substantively enacted in the UK on 24th May 2021. Deferred tax has been recognised at the rates in which the temporary differences are expected to materially reverse which equates to 25%.

8. DIVIDENDS

	2023 £'000	2022 £'000
Amounts recognised as distributions to equity holders in the year:	2,435	1,811

A dividend of 73.0 pence (2022: 55.0 pence) per ordinary share was authorised and paid during the year relating to the previous year's results. Of the dividends paid during the year, £nil (2022: £nil) was paid to the Employee Benefit Trust. The actual dividend paid is lower than proposed due to waiver of dividend on shares held by the Employee Benefit Trust at the declared dividend date.

The directors have authorised an ordinary dividend of 30 pence (2022: 73.0 pence) per share totalling £1,132,000 (2022: £2,754,000). This has not yet been included as a liability in these accounts. The authorised dividends will be paid by 1 December 2023 to shareholders who are on the register of members as at 14 September 2023.

9. INTANGIBLE FIXED ASSETS

Group

	Goodwill £'000	Software £'000	Total £'000
Cost			
At 29 May 2022	11,056	93	11,149
Additions	-	23	23
Acquired through business combinations	80	-	80
At 27 May 2023	11,136	116	11,252
Amortisation			
At 29 May 2022	6,485	11	6,496
Amortisation charge	1,080	31	1,111
At 27 May 2023	7,565	42	7,607
Carrying amount			
At 27 May 2023	3,571	74	3,645
At 28 May 2022	4,571	82	4,653

Company

	Goodwill £'000	Software £'000	Total £'000
Cost			
At 29 May 2022	6,981	93	7,074
Additions	2	23	25
Acquired through business combinations	80	-	80
Transfer from investments on hive up	3,224	-	3,224
At 27 May 2023	10,287	116	10,403
Amortisation			
At 29 May 2022	5,998	11	6,009
Amortisation charge	721	31	752
At 27 May 2023	6,719	42	6,761
Carrying amount			
At 27 May 2023	3,568	74	3,642
At 28 May 2022	983	82	1,065

Amortisation charge with respect to intangible assets is included within administrative expenses.

10. TANGIBLE FIXED ASSETS

Group	Land and Buildings £'000	Plant and Machinery £'000	Vehicles £'000	Total £'000
Cost:				
At 29 May 2022	13,559	7,988	1,775	23,322
Additions	742	1,185	181	2,108
Acquired through business combinations	-	-	160	160
Disposals	(338)	(48)	(338)	(724)
At 27 May 2023	13,963	9,125	1,778	24,866
Depreciation and Impairment:				
At 29 May 2022	3,134	4,744	632	8,510
Charge for year	415	827	323	1,565
Disposals	(170)	(36)	(260)	(466)
At 27 May 2023	3,379	5,535	695	9,609
Net book value:				
At 28 May 2022	10,425	3,244	1,143	14,812
At 27 May 2023	10,584	3,590	1,083	15,257

The net book value of land and buildings comprises:	2023 £'000	2022 £'000
Freehold	9,865	9,671
Long leasehold (over 50 years unexpired)	494	521
Short leasehold (less than 50 years)	225	233
	10,584	10,425

Assets held under finance leases and hire purchase contracts:

The net carrying amount of tangible assets includes the following amounts in respect of assets held under finance leases and hire purchase contracts.

	2023 £'000	2022 £'000
Vehicles	10	14

10. TANGIBLE FIXED ASSETS (continued)

Company	Land and Buildings £'000	Plant and Machinery £'000	Vehicles £'000	Total £'000
Cost:				
At 29 May 2022	12,435	7,731	1,757	21,923
Additions	1,865	1,391	193	3,449
Acquired through business combinations	-	-	160	160
Disposals	(337)	(48)	(338)	(723)
At 27 May 2023	13,963	9,074	1,772	24,809
Depreciation				
At 29 May 2022	3,134	4,720	629	8,483
Charge for year	414	800	320	1,534
Disposals	(169)	(36)	(260)	(465)
At 27 May 2023	3,379	5,484	689	9,552
Carrying amount:				
At 28 May 2022	9,301	3,011	1,128	13,440
At 27 May 2023	10,584	3,590	1,083	15,257

The net book value of land and buildings comprises:	2023 £'000	2022 £'000
Freehold	9,865	8,547
Long leasehold (over 50 years unexpired)	494	521
Short leasehold (less than 50 years)	225	233
	10,584	9,301

Assets held under finance leases and hire purchase contracts:

The net carrying amount of tangible assets includes the following amounts in respect of assets held under finance leases and hire purchase contracts.

	2023 £'000	2022 £'000
Vehicles	10	-

11. FIXED ASSET INVESTMENTS

Group and Company

Cost or Valuation

At 29 May 2022	3,772
Additions	37
Fair value adjustments	(106)
Disposals	(2,000)

At 27 May 2023	1,703
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Net book value

At 27 May 2023	1,703
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At 28 May 2022	3,772
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If fixed asset investments had not been revalued they would have been included at the following historical cost:

	2023 £'000	2022 £'000
Cost	1,714	3,359

Fixed asset investments were valued on an open market value basis on 27 May 2023 by Rathbones.

12. INVESTMENT PROPERTIES

Group and Company

Fair value

At 28 May 2022	1,005	1,005
At 27 May 2023	1,005	1,005

If the investment properties had not been revalued they would have been included at the following historical cost:

	2023 £'000	2022 £'000
Cost	497	497
Carrying value	402	422

The investment properties were valued to a fair value on 27 May 2023 by the Directors with reference to the original purchase price paid, independent valuations since the purchase date and current market yields. The properties were last independently valued at July 2017 by Walton Goodland on an open market value basis for current use in accordance with RICS Appraisal and Valuation Manual.

13. BUSINESS COMBINATIONS

On 25 October 2022, WCF Ltd acquired the trade and assets of David Hall Transport Limited (general road haulier). David Hall Transport contributed £152,000 revenue but generated a loss of £15,000 for the period between the date of acquisition and the balance sheet date. The amounts recognised in respect of the identifiable assets acquired and liabilities assumed are as set out in the table below.

	Book and fair value £'000
Assets and liabilities acquired	
Tangible assets	160
Goodwill	80
Total consideration	240
Satisfied by:	
Cash	240

Goodwill is considered to have a useful economic life of 5 years.

14. STOCKS

	Group		Company	
	2023 £'000	2022 £'000	2023 £'000	2022 £'000
Raw materials and consumables	440	623	440	623
Finished goods	6,251	8,669	6,251	7,655
	6,691	9,292	6,691	8,278

15. DEBTORS

	Group		Company	
	2023 £'000	2022 £'000	2023 £'000	2022 £'000
Amounts falling due within one year				
Trade debtors	15,763	19,452	15,763	19,434
Amounts owed by group undertakings	-	-	-	1,000
Other debtors	1,134	1,798	1,134	1,803
Prepayments and accrued income	1,115	920	1,115	885
	18,012	22,170	18,012	23,122
Amounts falling due after more than one year				
Other debtors	-	5	-	-
Total debtors	18,012	22,175	18,012	23,122

16. CREDITORS DUE WITHIN ONE YEAR

	Group		Company	
	2023 £'000	2022 £'000	2023 £'000	2022 £'000
Finance lease liabilities	2	5	2	-
Trade creditors	14,662	21,031	14,662	20,485
Corporation tax	219	683	219	443
Other taxation and social security	526	592	526	493
Accruals and deferred income	2,694	3,880	2,697	3,763
Amount owed to group undertakings	-	-	2	-
	18,103	26,191	18,108	25,184

17. LEASING AGREEMENTS AND FINANCIAL COMMITMENTS

Finance Leases

Certain motor vehicles are held under finance lease arrangements. The lease agreements generally include fixed lease payments and a purchase option at the end of lease term.

The total of future minimum lease payments is as follows:

	2023 £'000	2022 £'000
Within one year	2	5
Between one year and five years	10	11
	12	16

The total future minimum repayments under non-cancellable operating leases are as follows:

	2023 £'000	2022 £'000
Non cancellable operating leases		
Within one year	2,008	1,914
Between one and five years	6,097	5,513
More than five years	4,989	2,767
	13,094	10,194

Operating leases are primarily in respect of commercial vehicles and the companies operating locations.

At the year end there were unsettled forward currency contracts amounting to £90,174 (2022: £90,106) in respect of hedging of currency risk in relation to the purchase of certain stock items. No asset or liability has been recognised as the directors do not believe the impact to be material to the financial statements.

17. LEASING AGREEMENTS AND FINANCIAL COMMITMENTS (continued)

Operating leases - lessor

The total of future minimum lease receivables is as follows:

	2023 £'000	2022 £'000
Within one year	165	184
Between one and five years	290	400
More than five years	83	7
	538	591

18. CALLED UP SHARE CAPITAL

	2023 £'000	2022 £'000
Allotted, called up and fully paid 3,773,352 ordinary shares of £1	3,773	3,773

All shares which rank equally carry no fixed right to income. At the end of the financial year, options for 148,677 shares (2022: 214,193) were held by employees under the company's save as you earn share option scheme.

19. DEFERRED TAX ASSETS

Group

	2023 £'000
Movements in the period	
Liability at 29 May 2022	722
Charge to profit or loss	513
Credited to other comprehensive income	(167)
Liability at 27 May 2023	1,068

19. DEFERRED TAX ASSETS (continued)

Group

The total deferred taxation at 25% (2022: 25%) is as follows:

	2023 £'000	2022 £'000
Timing differences		
Accelerated capital allowances	1,101	925
Available losses	(350)	(456)
Capital gains rolled over	225	225
Fixed asset investment revaluations	124	230
Deferred tax on retirement benefit asset/(liability)	22	(25)
Other	(54)	(61)
Employee Share Bonus	-	(116)
	1,068	722

The expected net reversal of deferred tax in the following year is £287,000. This excludes any movement pertaining to deferred tax on retirement benefit obligations as it is not possible to estimate the expected unwind.

Company

	2023 £'000
Movements in the period	
Asset at 29 May 2022	667
Charge to profit or loss	568
Charge to other comprehensive income	(167)
	1,068

The total deferred taxation at 25% (2022: 25%) is as follows:

	2023 £'000	2022 £'000
Timing differences		
Accelerated capital allowances	1,101	870
Available losses	(350)	(456)
Capital gains rolled over	225	225
Fixed asset investment revaluations	124	230
Deferred tax on retirement benefit liability	22	(25)
Other	(54)	(61)
Employee Share Bonus	-	(116)
	1,068	667

The expected net reversal of deferred tax in the following year is £287,000. This excludes any movement pertaining to deferred tax on retirement benefit obligations as it is not possible to estimate the expected unwind.

20. INVESTMENTS IN SUBSIDIARIES

Company

£'000

Subsidiaries

Cost

At 29 May 2022	5,091
Transfer out goodwill on hive up	(3,834)
At 27 May 2023	1,257

Provision

At 29 May 2022	5
Provision	1,250
At 27 May 2023	1,255

Carrying amount

At 27 May 2023	2
At 28 May 2022	5,086

On 28 October 2022 the trade and assets of subsidiary, Longnor Wood Holiday Park Limited, were hived up into WCF Ltd, resulting in the transfer of goodwill out of the cost of the investment.

On 30 November 2022 the trade and assets of subsidiary, Progreen Weed Control Solutions Limited, were hived up into WCF Ltd, resulting in the transfer of goodwill out of the cost of the investment.

20. INVESTMENTS IN SUBSIDIARIES (continued)

Company

Undertaking	Registered office	Holding	Proportion of voting rights and shares held	
			2023	2022
Subsidiary undertakings				
A1 Lawn Limited	Crawhall, Brampton Cumbria CA8 1TN	Ordinary	100%	100%
Progreen Weed Control Solutions Limited	Crawhall, Brampton Cumbria CA8 1TN	Ordinary	100%	100%
Longnor Wood Holiday Park Limited	Crawhall, Brampton Cumbria CA8 1TN	Ordinary	100%	100%

For the period ending 27 May 2023 the subsidiary A1 Lawn Limited was entitled to exemption from audit under section 480 of the Companies Act 2006 relating to dormant companies.

For the period ending 27 May 2023 the subsidiary Progreen Weed Control Solutions Limited was entitled to exemption from audit under section 479A of the Companies Act 2006 relating to subsidiary companies. WCF Ltd has guaranteed all outstanding liabilities of Progreen Weed Control Solutions Limited at 27 May 2023 until those liabilities are settled. Progreen Weed Control Solutions has a coterminous period end with WCF Ltd and is included in the group consolidation.

For the period ending 27 May 2023 the subsidiary Longnor Wood Holiday Park Limited was entitled to exemption from audit under section 479A of the Companies Act 2006 relating to subsidiary companies. WCF Ltd has guaranteed all outstanding liabilities of Longnor Wood Holiday Park Limited at 27 May 2023 until those liabilities are settled. Longnor Wood Holiday Park Limited has a coterminous period end with WCF Ltd and is included in the group consolidation.

21. PENSION COMMITMENTS

Group and Company

The company operates a defined benefit scheme in the UK, namely the WCF Ltd Staff Retirement Benefits Scheme ('the Scheme'). As the scheme closed to future accrual on 1 April 2016 no ordinary contributions were made in the year.

The major assumptions used by the independent, qualified actuary in producing this year's FRS 102 disclosures were:

	27/05/2023	28/05/2022
Discount rate	5.25%	3.45%
Inflation rate	2.90%	3.00%
Rate of increase in pensions in payment	2.85%	2.95%

The company has provided for the rate of increase of inflation-linked pensions in payment and in deferment to be linked to the CPI measure of inflation with effect from 1 April 2012.

Under FRS 102 the expected return on assets has been set up for the current year to equal the discount rate of 5.25%, (2022:3.45%) and does not reflect the expected return on the actual scheme assets.

The company has agreed to pay deficit contributions of £833,333 per annum payable on or before 31 March each year from 2021 to 2023 inclusive.

The following table shows the life expectancies for example members each year, based on the assumed mortality tables for this year and last year.

<i>Life expectancy (years)</i>	27/05/2023	28/05/2022	
Current pensioner aged 65 (male)	21.0	21.0	
Current pensioner aged 65 (female)	24.0	24.0	
Future pensioner aged 65 (male)*	23.0	23.0	
Future pensioner aged 65 (female)*	26.0	26.0	*Currently aged 45.

As at 27 May 2023, all members were assumed to commute part of their pension in order to receive tax-free cash in line with the post 'A-Day' maximum.

The amounts recognised in the balance sheet are as follows:

	2023 £'000	2022 £'000
Funded defined benefit obligation	(10,255)	(12,660)
Fair value of plan assets	10,340	12,560
Net pension asset/(liability)	85	(100)

The amounts recognised in the profit and loss account are as follows:

	2023 £'000	2022 £'000
Administration expenses	93	135
Interest cost	429	315
Expected return on plan assets	(440)	(272)
Profit and loss charge	82	178

21. PENSION COMMITMENTS (continued)

Changes in the present value of the defined benefit obligation are as follows:

	2023 £'000	2022 £'000
Defined benefit obligation at start of year	12,660	16,387
Interest cost	429	315
Actuarial (gains)/losses	(2,399)	(3,624)
Benefits and expenses paid	(435)	(418)
Defined benefit obligation at end of year	10,255	12,660

Changes in the fair value of plan assets are as follows:

	2023 £'000	2022 £'000
Plan assets at start of year	12,560	13,752
Employer contributions - administration contribution	100	100
Employer contributions - actuarial deficit funding	833	833
Expected return on assets	440	272
Actuarial (losses)/gain on plan assets	(3,065)	(1,844)
Benefits and expenses paid	(528)	(553)
Plan assets at end of year	10,340	12,560
Actual return on assets	(2,625)	(1,572)

The major categories of plan assets as a percentage of total plan assets are as follows:

Proportion of total assets	2023	2022
Diversified Growth Funds	-	72.2%
Cash	37.2%	11.6%
LDI	62.8%	16.2%

The amounts recognised in the statement of other comprehensive income are as follows:

	2023 £'000	2022 £'000
Actuarial (losses)/gains	(666)	1,780
Total (expense)/income recognised in statement of other comprehensive income	(666)	1,780

22. ULTIMATE CONTROLLING PARTY

The company is owned by a large number of shareholders and as such there is no single ultimate controlling party.

23. SHARE-BASED PAYMENTS

Group and Company

The group has calculated the charge on share-based payments in relation to Save As You Earn (SAYE) options granted after 7 November 2002. Neither the charge nor the adjustment to opening reserves are deemed to be material in relation to the accounts and accordingly no adjustment has been made.

The company had one SAYE equity-settled option scheme in operation during the year with a grant date following 7 November 2002. This permits the grant of options to employees in respect of ordinary shares linked to a SAYE contract for a term of three or five years, with contributions from employees of an amount between £5 and £500 per month. Options are capable of being exercised at the end of the option period at a subscription price of 80% of the market value of the shares at the time of the offer.

At 27 May 2023 there were 148,677 options outstanding.

The number and weighted average exercise prices of share options are as follows:

	Weighted average exercise price 2023	Number of options 2023	Weighted average exercise price 2022	Number of options 2022
Outstanding at the beginning of the period	4.86	214,193	4.72	182,615
Forfeited during the period	4.89	(26,785)	4.80	(10,787)
Exercised during the period	4.78	(38,731)	4.56	(44,083)
Granted during the period	-	-	5.00	86,448
Outstanding at the end of the period	4.87	148,677	4.86	214,193
Exercisable at the end of the period	4.87	148,677	4.86	214,193

The fair value of the share options at the date of grant was estimated using the Black-Scholes option pricing model. The following table gives the assumptions applied:

Expected dividend yield	7.7%	Expected life of option	3 or 5 years
Expected volatility	15% - 31%	Underlying share price	570, 600 or 625 pence
Risk-free interest rate	1.00%	Exercise share price	456, 480 or 500 pence

24. ANALYSIS OF CHANGES IN NET FUNDS

Group

	29 May 2022 £'000	Cash flows £'000	27 May 2023 £'000
Cash at bank and in hand	10,102	594	10,696

25. RESERVES

Retained earnings

Capital redemption reserve

Investment in own shares

Fair value reserve

- cumulative profit and loss net of distributions
- the nominal value of shares repurchased and still held at the end of the reporting period
- relates to the shares held within the Employee Benefit Trust.
- is the cumulative fair value gains and losses relating to investment properties measured at fair value

Included within the Group and Company retained earnings reserve at 27 May 2023 is £41k in respect of unrealised losses (2022: £310k unrealised gains).

WCF LTD - DIVIDEND POLICY

DIVIDEND POLICY

The dividend policy of WCF shall be linked to annual earnings and calculated as follows:

Not less than 30% of profit before non-recurring items excluding the impact of any financial accounting adjustments

This means that shareholder income is directly linked to the current financial success of the company. It is the Board's objective to grow profits annually and we expect this to result in progressive dividend growth for our shareholders. However, shareholders should be aware that a large part of WCF's income comes from bulk fuel oil distribution. By its very nature this is a seasonal business and profits can sometimes be affected by circumstances beyond our control. This has the risk of some volatility of dividend payments going forward. The directors recognise that our shareholders value sustainable dividend growth and will aim to smooth the distribution from retained profits by varying the % pay-out. However, shareholders have the opportunity to benefit financially in a good year.

When setting its dividend policy, the Directors of WCF Ltd have considered several factors when deciding what portion of profits should be paid out to our shareholders, all who own a minority interest, in the form of an annual dividend. Any remaining profits will be shared amongst our employees and re-invested into the company for future:

- Share purchases from those shareholders who wish to sell their shares
- Maintenance and investment in our facilities
- Investment in new sites
- Acquisition opportunities
- New business development
- Credit rating with major supply partners
- Pension funding obligations

The Directors may, at their discretion, agree a special dividend in relation to profits arising from exceptional items.

Dividends will be paid annually by December. Any shareholder wishing to receive an annual dividend payment must provide the company with their bank details so that these payments can be made electronically as we no longer make payments by cheque.



Our Brands



Allan Stobart Fuels



ProGreen



WCF Ltd., Head Office: Crawhall, Brampton, Cumbria CA8 1TN